

2:00 PM

LINE 14

25-CIV-00194

DAVID BERNARD PARVIN VS. SANDEEP KHANNA, ET AL.

DAVID BERNARD PARVIN
SANDEEP KHANNA

NELSON W GOODELL
PRO SE

MOTION FOR FEES AND COSTS AGAINST DEFENDANT SANDEEP KHANNA PURSUANT TO CODE OF CIVIL PROCEDURE § 405.38

TENTATIVE RULING:

The Motion of Plaintiff David Bernard Parvin (“Plaintiff”) for Fees and Costs Pursuant to Code of Civil Procedure Section 405.38 is DENIED.

As a procedural matter, the court continued this Motion from February 10, 2026 so that it could first rule on Defendant Sandeep Khanna’s (“Defendant”) Motion for Reconsideration of the Order Denying Defendant’s Motion to Expunge the Lis Pendens. Thereafter, Plaintiff filed and served a supplemental declaration seeking additional attorney’s fees for the Motion for Reconsideration as well as a Notice of Supplemental Authority. Defendant subsequently brought an ex parte application seeking to file and serve a limited response to Plaintiff’s Supplemental Declaration and Notice of Supplemental Authority only. The court granted the ex parte application permitting Defendant a limited response, and also allowing Plaintiff a reply. (See Order filed March 24, 2026.) However, Defendant’s supplemental response exceeds the scope of the court’s March 24, 2026 Order as does Plaintiff’s supplemental reply. As such, the court disregards any arguments that are not directed to issues specifically addressing Plaintiff’s Supplemental Declaration and Notice of Supplemental Authority.

Plaintiff brings this Motion seeking attorney’s fees and costs of \$118,599.70 as the prevailing party after the court denied Defendant Sandeep Khanna’s (“Defendant”) Motion to Expunge Plaintiff’s Lis Pendens. (See Defendant’s Request for Judicial Notice, Exh. 4.) The court found that Plaintiff proved by a preponderance of the evidence for the motion to expunge the validity of the claim that Defendants did not comply with the requirements of Civil Code section 2924m and that this failure was unfair competition because it took away the opportunity for people who wanted to live in the house to bid on the property. (*Ibid.*) The court also ruled that Plaintiff was the prevailing party on the underlying motion to expunge. (*Ibid.*)

“The court shall direct that the party prevailing on any motion under this chapter be awarded the reasonable attorney's fees and costs of making or opposing the motion unless the court finds that the other party acted with substantial justification or that other circumstances make the imposition of attorney's fees and costs unjust.” (Code Civ. Proc., § 405.38.) This attorney’s fees provision was enacted to control misuse of the lis pendens procedure. (*Castro v. Superior Court* (2004) 116 Cal.App.4th 1010, 1022.) The Legislature did not define the term “substantial

justification” in the statute. However, in *Castro*, the Court of Appeal found that the discretionary language in section 405.38 is similar to the language of “substantial justification” in the discovery statute. (*Id.* at p. 1023, fn. 13.) Under the discovery statutes, “substantial justification means a justification that is well-grounded in both law and fact.” (*Diepenbrock v. Brown* (2012) 208 Cal.App.4th 743, 747; *Doe v. United States Swimming, Inc.* (2011) 200 Cal.App.4th 1424, 1434.) The imposition of attorney’s fees and costs to the prevailing party is mandatory unless the court makes specified findings supporting the denial of fees. (*J&A Mash & Barrel, LLC v. Superior Court of Fresno County* (2022) 74 Cal.App.5th 1, 42, citing *Castro, supra*, 116 Cal.App.4th at p. 1018.)

The court finds that Defendant establishes that he acted with substantial justification and/or circumstances would make the imposition of sanctions unjust here. Defendant’s underlying motion argued that there was no private right of action under Civil Code section 2924m, which Plaintiff initially conceded and the court agreed. (See Defendant’s Request for Judicial Notice, Exh. 4.) The Second Amended Complaint, which was the operative pleading at the time, did not contain a cause of action for violation of Civil Code section 2924m, and thus Plaintiff relied on the unfair competition law (“UCL”) as the basis for his claim. (*Ibid.*) Further, in disputing that the alleged noncompliance with section 2924m supported the *lis pendens*, Defendant explains that he reviewed Civil Code section 2924m, the mandatory notice provisions, and appellate authority discussing section 2924m, and understood that courts had not reached a uniform interpretation of section 2924m’s effect on post-sale finality. (Defendant’s Decl., ¶¶ 20-24.) As such, the court cannot conclude that Defendant lacked substantial justification in bringing the motion. Even if Defendant’s analysis was incorrect, these circumstances make the imposition of sanctions unjust where Defendant states under penalty of perjury in his declaration that he performed this legal analysis before filing the underlying motion to expunge. Additionally, the case law regarding section 2924m is not well established and this court’s prior rulings are not a law of the case prohibiting Defendant from raising his arguments in subsequent motions. (9 Witkin, *Cal. Proc.* 6th Appeal § 480 (March 2026 update) [“The doctrine of ‘law of the case’ deals with the effect of the first appellate decision on the subsequent retrial or appeal”].)

Plaintiff’s and Defendant’s Requests and Supplemental Requests for Judicial Notice are GRANTED, except to Plaintiff’s Supplemental Declaration which the court does not need to take judicial notice of since it is already before the court in ruling on this Motion. However, while the court may take judicial notice of the remaining court documents, it does not take judicial notice of the truth of hearsay statements in court files, including pleadings, affidavits, testimony, or statements of fact. (*Williams v. Wraxall* (1995) 33 Cal.App.4th 120, 130, fn.7.) Similarly, while the court may take judicial notice of documents recorded against the property, it cannot take judicial notice of factual matters asserted in these documents. (*Yvanova v. New Century Mortgage Corp.* (2016) 62 Cal.4th 919, 924, fn. 1, citing *Glaski v. Bank of America* (2013) 218 Cal.App.4th 1079, 1102.)

Plaintiff’s Evidentiary Objections are ruled on as follows:

No. 1 is SUSTAINED to “I did not participate in or control the statutory processes challenged in this case” as improper legal conclusion, and OVERRULED as to the remainder.

Nos. 2-15 and 17 are OVERRULED.

No. 16 is OVERRULED to the first two sentences in paragraph 47, and SUSTAINED to remainder based on lack of foundation.

No. 18 is SUSTAINED to “do not have the resources to hire counsel” as contradicts prior sworn deposition testimony, and OVERRULED to the remainder.

If the tentative ruling is uncontested, it shall become the order of the Court. Thereafter, Defendant shall prepare a written order consistent with the Court's ruling for the Court's signature, pursuant to California Rules of Court, Rule 3.1312, and provide written notice of the ruling to all parties who have appeared in the action, as required by law and the California Rules of Court.

2:00 PM

LINE 15

25-CIV-06341 MOJTABA TAIEBAT VS. ANDREW G WATTERS

MOJTABA TAIEBAT
ANDREW G WATTERS

MICHAEL TSIVYAN
JERAMY STEPHEN STONE

MOTION TO BE RELIEVED AS COUNSEL FOR PLAINTIFF MOJTABA TAIEBAT

TENTATIVE RULING:

The court on its own motion continues the hearing until September 8, 2026 at 2:00 p.m. in Department 4 based upon the fact that there is a pending demurrer on August 4, 2026, which is a potentially dispositive motion and the court finds would cause prejudice to the client if counsel were allow to withdraw at this time without the client having another attorney in place. The court notes that it makes this ruling after having initially reviewed the pleadings and seeing the basis for counsel's request to withdraw and counsel for plaintiff and cross-defendant Mojtaba Taiebat.
